China's depiction of Arunachal Pradesh and Aksai Chin as part of its territory in maps of China in its new e-passports. Despite such uneasiness, the 2nd India-China Strategic Economic Dialogue took place in New Delhi on 26 November 2012, which emphasized the increasing economic engagement between India and China.

China has bypassed USA, as India's largest trading partner in 2008. However, the trade imbalance is a worrying factor. India's trade deficit stands at over $20 billion, which is higher that the trade deficit in 2009 that stood at $15.87 billion. Both again are competing in African and Latin American countries to get access to oil reserves. China's intention to divert the Brahmaputra River is also a major fear for India. With much reluctance and initial negation, China accommodated India into Shanghai Cooperation Organization (SCO) as an observer. This was again done to protect its Central Asian interest and curb growing American presence in the Central Asian and Caspian Sea region for the hydrocarbon reserves. China openly does not support India's bid to permanent member of UNSC. However, both India and China have started interacting at the BRICS multilateral. They also participate in the Trilateral Summit involving Russia, China and India. The Tenth Trilateral Foreign Ministers Meet was held in Wuhan in 2010. The Eleventh Trilateral was held in April 2012. However, India is worried about the border problems and China's military design over Indian territories like Aksai Chin, Sikkim, Arunachal Pradesh and road buildups in Tibet and largest land port in Nepal, which will connect Xigaze with Nepal by rail. To ward-off the Chinese threat, India has plans to upgrade six air-strips (Advanced landing Ground) along the 40 km of the border, revamp border posts modernization of Airfield infrastructure and other measures.

Nuclear deal signed between India and United States of America can be seen as a strategy by India to balance China's growing influence over India's neighbours. The India-Japan-South Korea trilateral seeks to reinforce the India-Japan-US trilateral dialogue that also focuses on expanding strategic and maritime cooperation. Beijing has not come out in the open about the India-Japan-South Korea trilateral, but it has been uneasy about the three powers in the region getting together which can be dubbed as an exercise in encirclement